payments, such as any loans and current rent or mortgage payments. It doesn't include regular expenses like groceries, gas, or utilities.

Let's say Melissa currently pays $1,600 per month in rent, plus she's required to pay a minimum of $200 per month toward her auto loan and $300 per month toward student loans. That's a total of $2,100 in monthly debt payments. If her annual salary is $50,000 before taxes, that's $4,167 per month—so her debt-to-income ratio would be just over 50 percent.

This isn't great news for Melissa. Though the required DTI ratio varies depending on the lender and loan type, 50 percent is typically considered the maximum for many conventional loans. Melissa is currently right on the fence of an acceptable DTI ratio, and there's not much she can do to change this in the short term—she will either need to make more money or reduce her monthly debt in order to affect this number. At this point, she might need to reassess her financial situation before starting the home-buying process.

The same goes for anyone with a DTI ratio near or higher than 50 percent—you should pay down any current debt as much as possible before applying for a mortgage. However, if you run the numbers and you have a DTI ratio of 45 percent or less, you're on the right track. Make sure to maintain this number by avoiding taking on any more debt before you close on your home!

Accessible Cash

Moolah. Dough. Cheddar. Bucks. Call it what you will, but you absolutely need it to buy a house.

We argue for a conservative cash position prior to closing on your first home. For us, this means that you have cash on hand for the down payment, all closing costs, any anticipated repairs you'll need to make (if applicable), plus a $10,000–$15,000 cushion left over. That sounds like a massive cushion, but it's far better than having $0 left in the bank the day you move into your new home.

With a typical $300,000 home purchase, this would look like:

- A down payment anywhere from 3 percent to 20 percent of the total loan, depending on the type of loan you're going with. We'll talk about those details more in Chapter Six, but for this example, just